



ORIENT FINANCE PLC

Unaudited Interim Financial Statements

For the 06 Months Ended 30 September 2017

ORIENT FINANCE PLC

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	Quarter ended 30th Sep		For the 06 Months Ended 30 Sep		Variance %
	2017	2016	2017	2016	
	Rs. Unaudited	Rs. Unaudited	Rs. Unaudited	Rs. Unaudited	
Income	850,405,493	816,334,813	1,733,209,783	1,557,406,532	11%
Interest income	809,423,822	764,350,680	1,658,216,925	1,466,027,888	13%
Interest expenses	(531,635,057)	(453,057,199)	(1,070,112,553)	(821,852,742)	30%
Net interest income	277,788,765	311,293,481	588,104,372	644,175,146	-9%
Fee and commission income	23,224,484	35,290,734	47,939,056	63,507,026	-25%
Other operating income	17,757,187	16,693,399	27,053,802	27,871,618	-3%
Total operating income	318,770,436	363,277,614	663,097,230	735,553,790	-10%
Impairment charges/(reversal) for loans and receivables to customers	(126,818,506)	(79,059,312)	(230,985,328)	(159,384,090)	-31%
Net operating income	191,951,930	284,218,302	432,111,902	576,169,700	-25%
Operating expenses					
Personnel expenses	(95,231,492)	(84,114,362)	(189,087,911)	(169,873,871)	-10%
Depreciation and amortization	(5,773,675)	(8,489,101)	(11,277,465)	(16,658,434)	48%
Value Added Tax and NBT on financial services	(9,143,602)	(18,219,549)	(24,283,984)	(27,686,265)	14%
Other operating expenses	(122,550,140)	(106,526,305)	(238,558,969)	(208,086,801)	-13%
Profit/(Loss) Before Tax	(40,746,979)	66,868,985	(31,096,427)	153,864,329	-120%
Income tax expense	(999,999)	(9,628,408)	(3,874,388)	(23,443,458)	505%
Profit / (Loss) for the period	(41,746,978)	57,240,577	(34,970,815)	130,420,871	-127%
Other Comprehensive Income					
Available for sale financial assets - Net change in fair value	2,373,041	2,376,640	3,476,375	4,610,931	-25%
Other comprehensive income for the period	2,373,041	2,376,640	3,476,375	4,610,931	
Total comprehensive income for the period	(39,373,937)	59,617,217	(31,494,440)	135,031,802	-123%
				-	
Basic earnings per share (Rs.)	(0.27)	0.49	(0.24)	1.06	
Diluted earnings per share (Rs.)	(0.27)	0.49	(0.24)	1.06	

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

As At	30 Sep 2017 Rs. Unaudited	31 March 2017 Rs. Audited
ASSETS		
Cash and cash equivalents	195,701,938	107,894,350
Available for sale financial assets	841,546,352	839,887,069
Loans and receivables to customers	15,127,184,254	16,416,103,144
Investments with banks and other financial institutions	359,624,741	369,160,064
Other assets	186,962,450	197,047,025
Real estate stock	22,562,830	22,469,524
Deferred tax asset	272,289,512	275,622,280
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	105,510	105,510
Property, plant and equipment	424,364,408	421,315,170
Total assets	18,230,767,741	19,450,029,882
LIABILITIES		
Bank overdrafts	223,546,502	598,251,884
Deposits from customers	11,275,556,394	9,565,559,962
Interest bearing borrowings	2,507,935,287	4,815,150,455
Term debts	989,923,152	985,716,469
5 Year, Redeemable Preference shares	428,283,236	406,954,566
Current tax payable	(1,278,004)	2,136,340
Other liabilities	326,310,913	530,785,736
Non interest bearing security deposits	694,401	848,126
Retirement benefit obligations	48,567,834	44,899,285
Total liabilities	15,799,539,715	16,950,302,823
EQUITY		
Stated capital	1,378,689,779	1,378,689,779
Statutory reserve fund	305,274,930	305,274,930
Available for sale reserve	1,930,783	(1,545,592)
Revaluation reserve	116,471,908	116,471,908
Retained earnings	628,860,626	700,836,034
Total equity	2,431,228,026	2,499,727,059
Total equity and liabilities	18,230,767,741	19,450,029,882
Net assets per share	16.43	16.89

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.



Sanjeeva Jayasinghe
Senior Manager - Finance



Mayura Fernando
Chief Executive Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

Approved and signed for and on behalf of the Board;



Dr. Dayanath Jayasuriya
Chairman



Prakash Schaffter
Director

Colombo
14th November 2017

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

For the 06 Months Period Ended 30 September 2017,

	Stated Capital	Statutory reserve fund	Revaluation reserve	Available for sale value reserve	Retained earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 01 April 2016	1,378,689,779	292,391,119	116,471,908	(377,544)	455,805,711	2,242,980,973
Profit for the year	-	-	-	-	130,420,871	130,420,871
Other comprehensive income net of taxes	-	-	-	4,610,931	-	4,610,931
Transfer to statutory reserve	-	26,084,174	-	-	(26,084,174)	-
Balance as at 30 Sep 2016	1,378,689,779	318,475,293	116,471,908	4,233,387	560,142,408	2,378,012,775
Balance as at 01 April 2017	1,378,689,779	305,274,930	116,471,908	(1,545,592)	700,836,034	2,499,727,059
Profit / (Loss) for the year	-	-	-	-	(34,970,815)	(34,970,815)
Other comprehensive income net of taxes	-	-	-	3,476,375	-	3,476,375
Dividend Paid					(37,004,593)	
Transfer to statutory reserve	-	-	-	-	-	-
Balance as at 30 Sep 2017	1,378,689,779	305,274,930	116,471,908	1,930,783	628,860,626	2,431,228,026

Figures in brackets indicate deductions.

ORIENT FINANCE PLC
CASH FLOW STATEMENT

For the 06 Months Period ended 30 September

	2017	2016
	Rs.	Rs.
Cash flows from operating activities		
Profit before income tax expense	(31,096,427)	153,864,329
Adjustment for;		
Depreciation / Amortization	11,233,414	16,658,434
Profit on disposal of property, plant and equipment	244,190	(12,844,111)
Impairment charge/(reversal)	230,985,328	159,384,090
Finance expenses	1,070,112,553	821,852,742
Investment income	(64,710,597)	(53,179,583)
Provision for gratuity	5,491,230	4,988,122
Operating profit before working capital changes	1,222,259,691	1,090,724,023
Change in loans and receivables from customers	1,057,933,562	(1,818,733,494)
Change in other receivables	10,084,575	27,046,603
Change in deposits from customers	1,678,007,834	10,448,162
Change in other payables	(204,474,823)	64,938,549
Change in non interest bearing security margins	(153,725)	(263,703)
	3,763,657,114	(625,839,860)
Interest paid	(963,533,278)	(763,921,143)
Income tax paid	(3,414,344)	-
Gratuity paid	(1,822,681)	(980,813)
Net cash used in operating activities	2,794,886,811	(1,390,741,816)
Cash flows from investing activities		
Acquisition of property, plant and equipment	(14,667,002)	(11,035,768)
Proceeds from sale of property, plant and equipment	140,209	17,622,997
Proceeds from sale of Real Estate Sock	(93,306)	(283,357)
Net change in available for sale financial assets	1,817,092	(19,410,613)
Net change in investments with banks and other financial institutions	9,535,323	93,415,715
Investment income received	64,710,597	53,179,583
Net cash generated from investing activities	61,442,913	133,488,557
Cash flows from financing activities		
Dividends Paid	(37,004,593)	-
Interest bearing borrowings obtained	3,307,612,990	3,802,350,991
Repayment of interest bearing borrowings	(5,617,239,280)	(2,630,807,105)
Interest paid for Debentures	(47,185,871)	(56,861,625)
Repayment of Debentures	-	(204,000,000)
Net cash generated from financing activities	(2,393,816,754)	2,099,056,614
Net change in cash and cash equivalents	462,512,970	(346,570,997)
Cash and cash equivalents at the beginning of the year	(490,357,534)	(201,695,426)
Cash and cash equivalents at the end of the year (Note A)	(27,844,564)	(548,266,423)
Note A		
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	121,641,998	74,000,415
Cash at bank	74,059,940	30,910,842
Bank overdrafts - secured	(223,546,502)	(653,177,680)
	(27,844,564)	(548,266,423)

Figures in brackets indicate deductions.

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2017. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting. Previous year figures and phrases have been re-arranged wherever necessary to conform to the current presentation.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements except the final dividend paid to Ordinary shareholders amounting to Rs. 37,004,592.50 as approved in the AGM held on 18th August 2017.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2017.

Listed Debenture Information

Debenture	30-Sep-17 Rs	30-Sep-16 Rs
Debentures Issued in 2014	1,000,000,000	1,000,000,000
	<u>1,000,000,000</u>	<u>1,000,000,000</u>

Debenture	30-Sep-17	30-Sep-16
Market Prices - (Highest/ Lowest/ Closing)	N/T*	N/T*
Debt to Equity Ratio (Times)	6.34	2.56
Interest Coverage Ratio (Times)	0.99	1.22
Liquid Asset Ratio	7.43%	6.53%
Interest Rate of comparable Government Securities	9.57%	11.48%
Interest Yield as at Date of Last Trade	N/T*	N/T*
Yield to maturity as of Last Trade	N/T*	N/T*

* N/T - Not Traded

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>	30-Sep-17	30-Sep-16
Value of Ordinary Shares (Rs.)	1,378,689,780	1,378,689,780
No. of Ordinary Shares	148,018,370	148,018,370

Share Price During the Period	For the Quarter Ended 30-Sep-17	30-Sep-16
Highest (Rs)	13.30	21.00
Lowest (Rs)	9.70	14.30
Closing (Rs)	13.00	16.40

ORIENT FINANCE PLC**NOTES TO THE FINANCIAL STATEMENTS****Shareholders as at 30 September 2017**

Name	No. of Shares	%
1 Janashakthi Plc	132,940,720	89.81
2 B G Investments (Pvt) Limited	4,657,594	3.15
3 Dunamis Capital Plc	2,383,862	1.61
4 First Capital Limited	1,425,043	0.96
5 Seylan Bank Plc/S.R. Fernando	610,503	0.41
6 Code-Gen International Pvt Ltd	484,400	0.33
7 Asset Trust Management (Private) Ltd	333,300	0.23
8 Commercial Credit And Finance Plc	330,000	0.22
9 Mr. Antony Suresh Rajakumar Muttiah	319,667	0.22
10 Mr. Kankanamge Dinith Yasantha Pathiraja	300,000	0.20
11 Rosewood (Pvt) Limited	300,000	0.20
12 Mr. Ravin Arifeen	250,890	0.17
13 Mr. Moderage Marian Janek Waas Jayasekara	200,285	0.14
14 Seylan Bank Plc/Lasantha Chandika Ranaweera Pathir	145,003	0.10
15 Mr. Kosgallana Durage Ananda Weerasinghe	133,400	0.09
16 Mr. Puwakgaha Alle Gedara Weerakoon Banda	110,676	0.07
17 Mr. Kulasekara Mudiyansele Dinesh Nuwan Kulasekara	100,000	0.07
18 Mr. Nilan Asela Saipath Wickramasinghe	100,000	0.07
19 Mrs. Henarath Pathirannahelage Thamara Kalyani Bandulasena	81,232	0.05
20 Mr. Hewa Dewage Manoj Prasanna Siriwardena	75,900	0.05
Others	2,735,895	1.85
Total	148,018,370	100.00

Directors' Shareholding as at 30 September 2017

Name of the Director	No. of Shares	%
1. Dr. D.C. Jayasuriya PC - Chairman	-	-
2. Mr. Prakash Schaffter	10	-
3. Mrs. Lakshmi K. Gunatilake (Resigned w.e.f..31 Oct 2017)	-	-
4. Mr. Ananda W. Atukorala	-	-
5. Mr. K. M. A. T. B. Tittawella	-	-
6. Ms. Minette D. A. Perera	-	-
7. Ms. Indrani Goonesekara	-	-
8. Mr. Ramesh Schaffter (Alternative Director to Mr. Prakash Schaffter)	10	-
	-	-
Total	20	-

CEO's Shareholding as at 30 September 2017

Mr.Mayura Fernando	-	-
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Public Holding as at 30 September 2017

	15,077,610	10.18
Number of Public Shareholders	612	

ORIENT FINANCE PLC
FIANANCIAL REPORTING BY SEGMENTS
Business Segments

The company has two reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, and are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

Hire purchase, finance leasing and loans - Provision of hire purchase, finance leasing and loan facilities to customers

Factoring - Debt factoring

For the 06 Months Period Ended 30th September	Finance Leases, Hire purchases and Loans		Factoring		Unallocated		Total	
	2017	2016	2017	2016	2017	2016	2017	2016
	Rs	Rs	Rs	Rs	Rs	Rs	Rs	Rs
Interest income	1,451,688,252	1,307,010,082	134,270,738	104,635,487	72,257,935	54,382,319	1,658,216,925	1,466,027,888
Fee and commision income	25,467,795	40,897,782	21,845,470	22,609,244	625,791	-	47,939,056	63,507,026
Other income	24,293,651	13,375,237	-	-	2,760,151	14,496,381	27,053,802	27,871,618
Total segmental income	1,501,449,698	1,361,283,101	156,116,208	127,244,731	75,643,877	68,878,700	1,733,209,783	1,557,406,532
Less: Interest expense	(964,834,852)	(746,875,780)	(96,938,482)	(73,862,454)	(8,339,219)	(1,114,508)	(1,070,112,553)	(821,852,742)
Segmental results	536,614,846	614,407,321	59,177,726	53,382,277	67,304,658	67,764,192	663,097,230	735,553,790
Depreciation and amortization	(10,167,988)	(11,660,904)	(1,021,594)	(499,753)	(87,884)	(4,497,777)	(11,277,466)	(16,658,434)
Impairment charge/(reversal)	(204,386,377)	(152,303,610)	(26,964,230)	(6,230,507)	365,279	(849,973)	(230,985,328)	(159,384,090)
Other Expenses	(256,334,536)	(200,358,126)	(17,473,929)	(17,676,000)	(178,122,399)	(187,612,811)	(451,930,864)	(405,646,937)
Income tax	-	-	-	-	(3,874,388)	(23,443,458)	(3,874,388)	(23,443,458)
Profit after tax	65,725,945	250,084,681	13,717,973	28,976,017	(114,414,734)	(148,639,827)	(34,970,816)	130,420,871
Segmental assets	13,638,971,472	14,084,723,912	1,370,329,018	1,392,912,063	3,221,467,251	3,043,560,580	18,230,767,741	18,521,196,555
Segmental liabilities	173,861,649	608,705,621	-	-	15,625,678,066	15,534,478,159	15,799,539,715	16,143,183,780